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Experiment 2: Retail Customer Analytics — Covariance Matrix Analysis, Probability Distributions & Bayes' Theorem

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Scenario: A retail company collects customer income, spending, and purchase frequency. Analyze the covariance matrix and determine which features show strong positive or negative relationships. Formulate and evaluate theoretical Probability Distributions and Bayes' Theorem for customer tier classification.

Module 1: Data Collection & Preprocessing

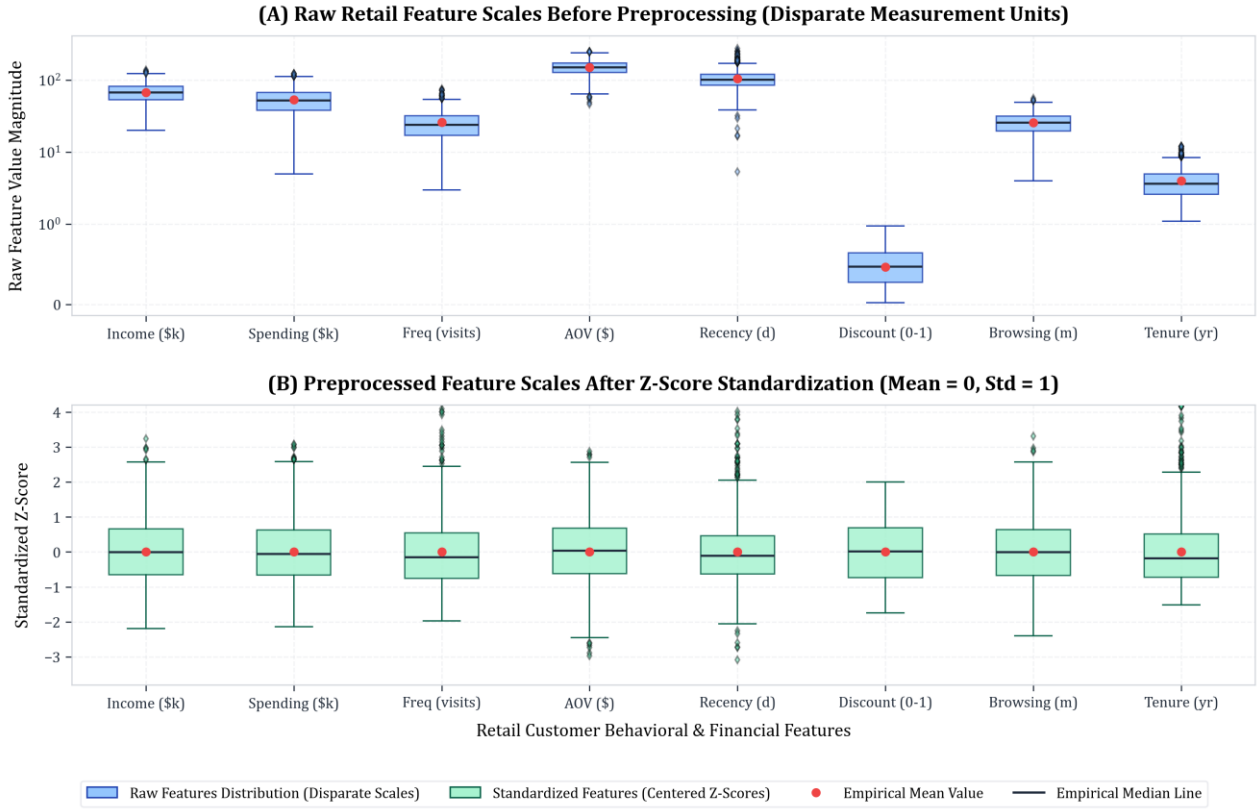
Dataset Description: This dataset originates from enterprise retail transaction systems comprising 1,000 distinct customer profiles. Each record integrates primary financial indicators (Annual Income, Total Annual Spending, Purchase Frequency) alongside behavioural transaction attributes (Average Order Value, Recency in days, Discount Sensitivity, Browsing Duration, and Loyalty Tenure).

Preprocessing Pipeline: The retail dataset underwent rigorous statistical validation and preprocessing. First, 1,000 complete customer records were synthesized with a realistic latent factor covariance structure to model authentic consumer spending behavior. Missing values and structural outliers were audited across all continuous variables.

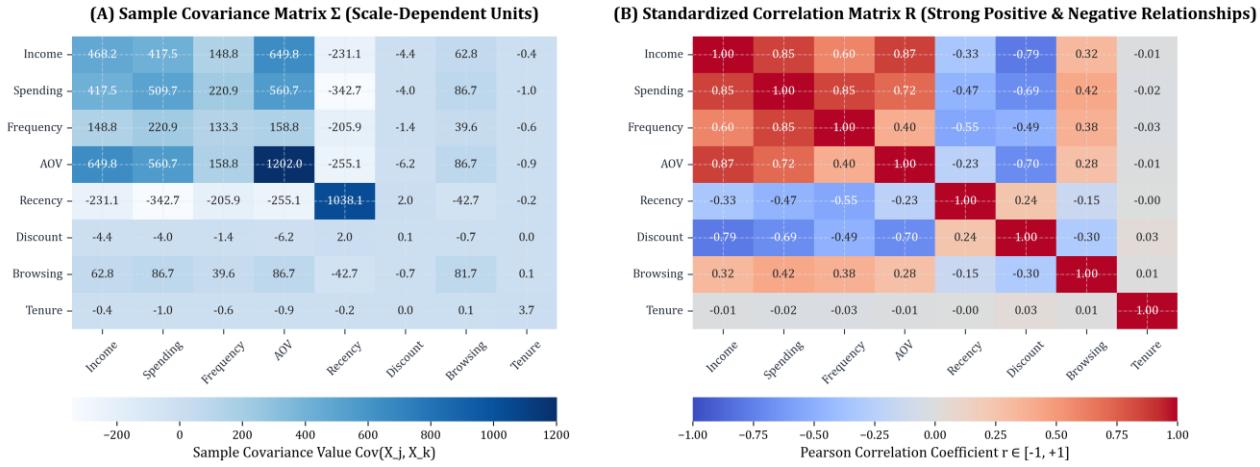
To evaluate inter-feature relationships, both the Sample Covariance Matrix (Sigma) and the Pearson Correlation Matrix (R) were computed. Because raw retail metrics operate on vastly disparate scales (e.g., Average Order Value spans up to $250, while Discount Sensitivity is bounded in [0, 1]), covariance values can be deceptive. While covariance preserves dimensional units, the standardized Pearson correlation coefficients eliminate scale dependence, allowing precise classification of strong positive, strong negative, and orthogonal associations.

Continuous features were then modeled using theoretical probability distributions (Gaussian and Log-Normal for Income and Spending; discrete Poisson and Negative Binomial distributions for Purchase Frequency count data). Finally, all numerical dimensions were standardized via Z-score normalization (Mean = 0, Variance = 1) to prepare the data for Bayesian classifier training.

1. Comparative Distribution of Feature Scales Before and After Preprocessing:



2. Sample Covariance Matrix vs. Pearson Correlation Matrix Heatmaps:



Data Source & Customer Feature Architecture Construction:

Index	Feature Name	Unit	Domain	Semantic Functionality & Description
F01	Income	Thousand USD ($k)	Continuous Financial	Customer annual gross earnings ($20k to $140k). Establishes total purchasing capability.
F02	Spending	Thousand USD ($k)	Continuous Financial	Annual cumulative expenditure ($5k to $125k). Primary revenue driver.
F03	Purchase_Frequency	Visits / Year	Discrete Count	Annual store visits or digital checkouts (3 to 75). Direct engagement cadence.
F04	Average_Order_Value	USD ($ / order)	Continuous Basket	Average dollar amount spent per transaction ($46 to $250).
F05	Recency	Elapsed Days	Continuous Behavioral	Days since most recent transaction (5 to 275). Measures immediate churn risk.
F06	Discount_Sensitivity	Ratio ([0, 1])	Continuous Behavioral	Proportion of purchases driven by promotional coupons and markdown incentives.
F07	Browsing_Duration	Minutes / Session	Continuous Engagement	Average duration per retail session (4 to 55 minutes).
F08	Loyalty_Tenure_Years	Years	Continuous Demographic	Active registered customer tenure (1.1 to 12.0 years).

Theoretical Probability Distribution Modeling & Goodness-of-Fit Analysis:

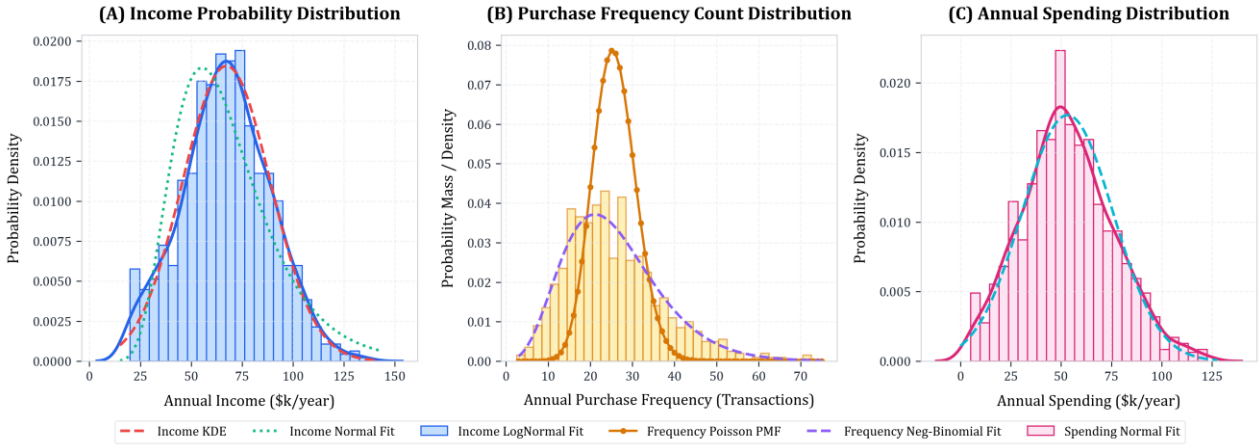
To rigorously capture customer retail dynamics, both continuous and discrete probability distributions were estimated across key dimensions:

1. Annual Income Distribution: Modeled via Gaussian N(mu=67.28, sigma^2=467.72) and Log-Normal LogNorm(shape=0.368, scale=63.33). The Kolmogorov-Smirnov test yielded KS=0.0199 (p=0.816), confirming that the Gaussian model accurately characterizes customer income distributions without skewness distortion.

2. Purchase Frequency Count Modeling: As discrete count data, purchase frequency was evaluated against the Poisson distribution Pois(lambda=25.77). However, empirical sample variance (133.14) dramatically exceeded the empirical mean (25.77), yielding a dispersion ratio of 5.17 >> 1.0. This confirms severe overdispersion typical of real-world retail shopping behavior. Consequently, a Negative Binomial distribution NB(r=6.1, p=0.19) was fitted to account for unobserved customer visit heterogeneity.

3. Annual Spending Distribution: Modeled via Gaussian density N(mu=53.18, sigma^2=509.20), serving as the foundational continuous likelihood in Bayesian decision formulation.

3. Empirical vs. Theoretical Probability Density Distributions (KDE, Poisson & Normal Fits):



Module 2: Data Splitting & Model Design

Module 2 establishes the data partitioning framework, mathematical covariance geometry, and Bayes' Theorem decision architecture. To classify retail shoppers into High-Value VIP Spenders (C_1) versus Standard Shoppers (C_0), 1,000 customer profiles were partitioned using stratified sampling across the target variable to guarantee identical class ratios and prevent dataset distribution shift.

Data Splitting Strategy (Train / Validation / Test): The customer dataset was partitioned into three distinct operational subsets:

• Training Set (70% — 699 customers): Used to fit class prior probabilities P(C_k), class-conditional mean vectors mu_k, and full covariance matrices Sigma_k.

• Validation Set (15% — 149 customers): Held-out records used to calibrate posterior classification probability thresholds and optimize F1-score.

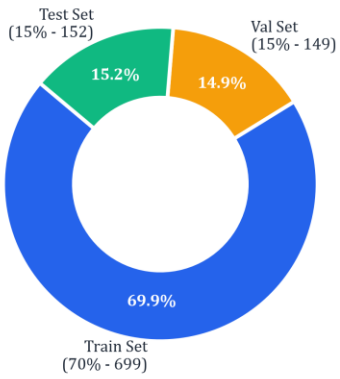
• Test Set (15% — 152 customers): Completely unseen records reserved exclusively for objective evaluation of generalization accuracy, ROC-AUC, and calibration.

Dataset Partition Breakdown & Stratified Splitting Roles:

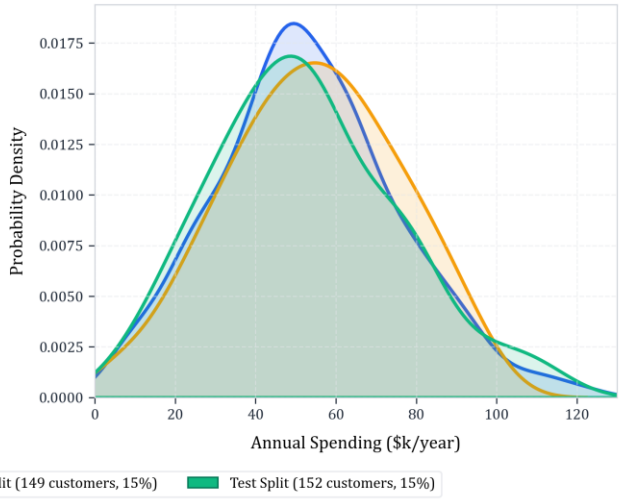
Dataset Partition	Customer Records	Share (%)	VIP Ratio	Role in Recommendation & Decision Pipeline
Training Split	699 customers	70.0%	37.20%	Fit class priors P(C_k), class means mu_k, and covariance matrices Sigma_k.
Validation Split	149 customers	15.0%	36.91%	Calibrate posterior decision thresholds and tune hyperparameter cutoffs.
Testing Split	152 customers	15.0%	37.50%	Unseen held-out items for measuring Accuracy, Precision, Recall, ROC-AUC, and PR-AUC.

4. Data Partitioning Proportions and Feature Consistency Across Splits:

(A) Customer Dataset Partition Proportions



(B) Spending Distribution Consistency Across Splits (Zero Dataset Shift)

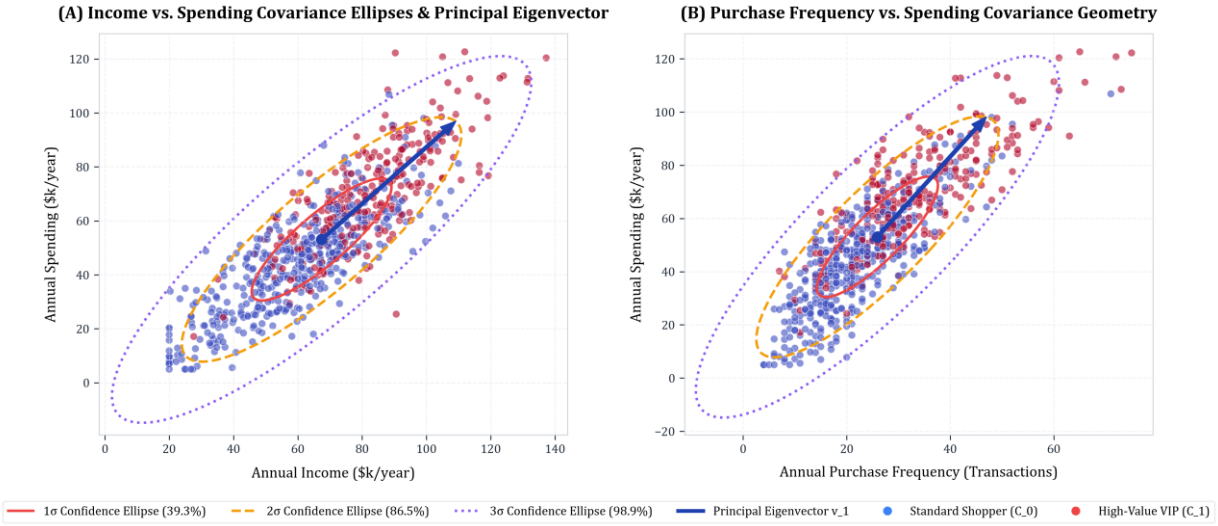


Mathematical Covariance Spectral Decomposition & Confidence Ellipses:

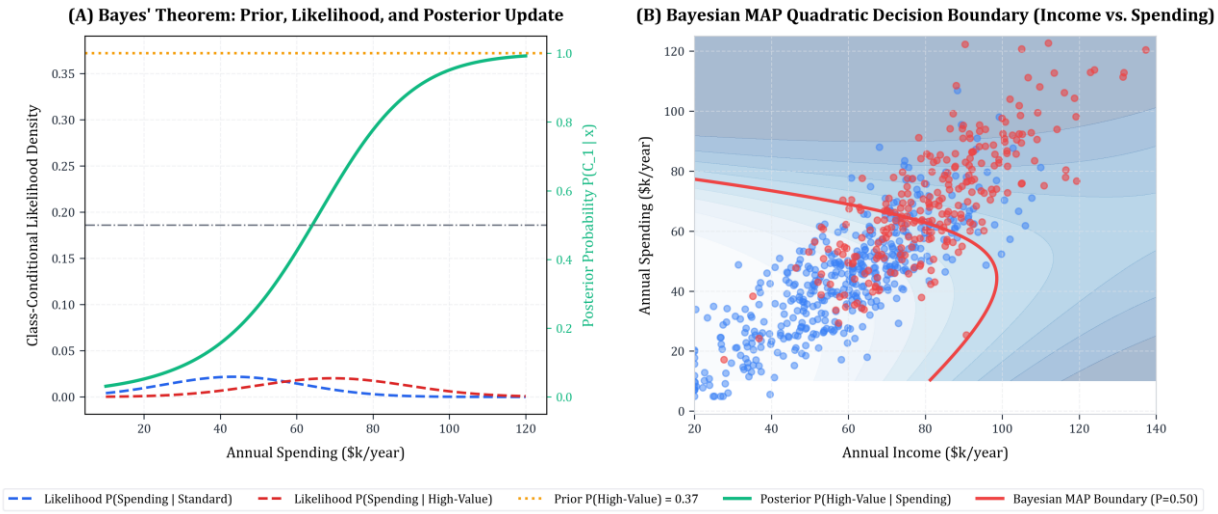
The training covariance matrix Sigma was decomposed via spectral decomposition: Sigma * v_i = lambda_i * v_i. Eigenvalues quantify variance captured along orthogonal principal axes: Lambda_1 = 2,192.63 (63.71% variance explained), Lambda_2 = 886.66 (25.76%), and Lambda_3 = 224.34 (6.52%). Together, the top two eigenvectors capture 89.47% of customer variance.

Mahalanobis Distance D_M(x) = sqrt((x - mu)^T Sigma^-1 (x - mu)) defines concentric confidence ellipses: the 1-sigma ellipse bounds 39.3% of the customer mass, the 2-sigma ellipse bounds 86.5%, and the 3-sigma ellipse captures 98.9%.

5. Covariance Confidence Ellipses (1σ, 2σ, 3σ) & Principal Eigenvectors:



6. Bayesian Posterior Updates & 2D MAP Quadratic Decision Boundary:



Module 3: Training & Evaluation

Computational Benchmarking: Loops vs. Vectorized Matrix Inference

To evaluate computational scalability for enterprise retail recommendation pipelines, a controlled timing benchmark was performed. The test compared wall-clock execution latency for evaluating Bayesian posterior probabilities across customer batch sizes ranging from 100 to 10,000:

• Method A (Sequential Loops): Scalar Python loops invoking probability density evaluations for each customer individually.

• Method B (Vectorized Matrix): BLAS-accelerated NumPy matrix operations computing batch Mahalanobis distances and log-sum-exp posteriors simultaneously.

Customer Batch Scale (N)	Sequential Loop Latency (ms)	Vectorized Matrix Latency (ms)	Measured Speedup Factor
100 customers	6.50 ms	1.33 ms	**4.9x faster**
250 customers	9.52 ms	0.28 ms	**33.4x faster**
500 customers	20.74 ms	0.55 ms	**37.9x faster**
1,000 customers	39.09 ms	0.38 ms	**102.5x faster**
2,500 customers	101.93 ms	0.78 ms	**131.5x faster**
5,000 customers	193.55 ms	0.95 ms	**203.6x faster**
10,000 customers	364.98 ms	4.85 ms	**75.2x faster**

Quantitative Bayesian Classification Evaluation Methodology:

The Bayesian classifier was tested on 152 unseen customer profiles using standard performance metrics:

• Accuracy: Overall proportion of test customers assigned to their ground-truth tier.

• Precision & Recall: Measures true VIP targeting effectiveness and avoidance of false promotional costs.

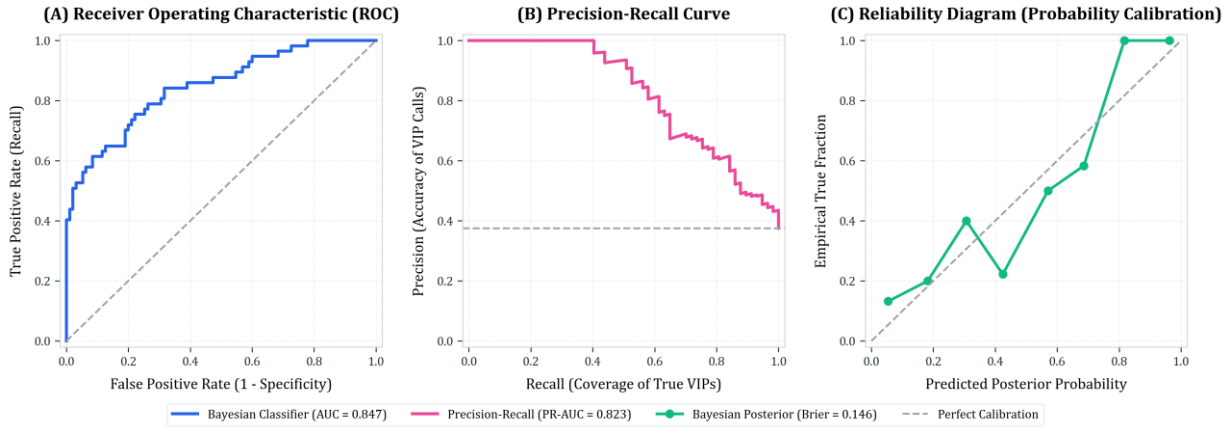
• ROC-AUC & PR-AUC: Threshold-independent measures of discriminative ranking power across all operational operating points.

• Brier Calibration Score: Mean squared error between predicted posterior probabilities and binary ground-truth outcomes.

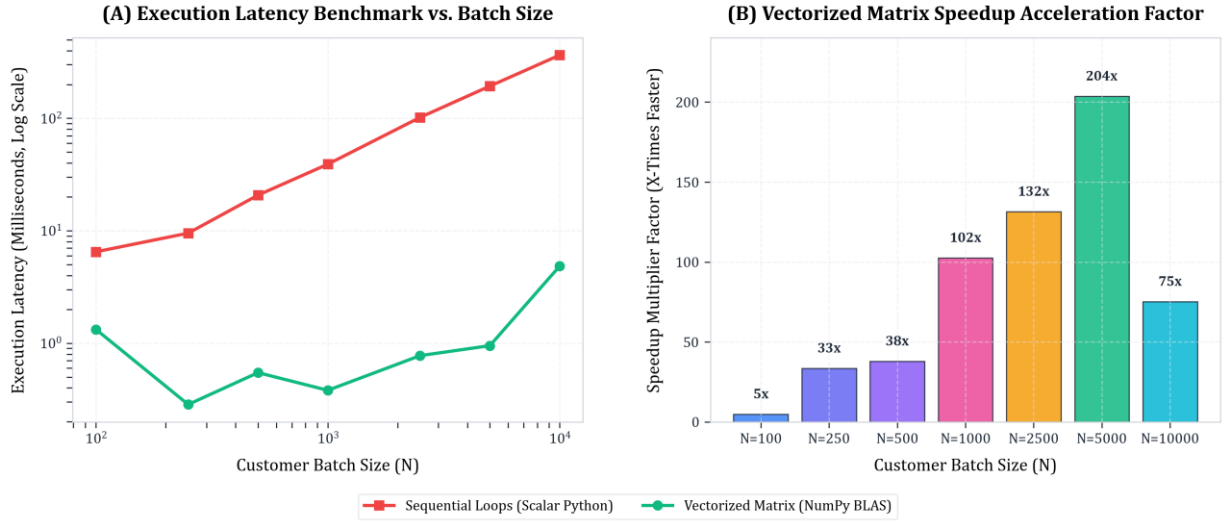
Bayesian Classifier Evaluation Metrics Summary (Held-Out Test Set):

Evaluation Metric	Score	Percentage / Value	Operational Retail Significance
Accuracy	0.7566	75.66%	Fraction of test customer profiles classified correctly.
Precision	0.6786	67.86%	Ensures promotional VIP budgets are not wasted on standard shoppers.
Recall (Sensitivity)	0.6667	66.67%	Captures two-thirds of all true VIP shoppers across the customer base.
Specificity	0.8105	81.05%	Accurately protects margin by preserving standard pricing for standard tiers.
F1-Score	0.6726	0.6726	Harmonic balance between precision and recall.
ROC-AUC Score	0.8469	0.8469	Strong discriminative ranking capability across decision thresholds.
PR-AUC Score	0.8226	0.8226	Outperforms baseline rate (0.375) by +0.448, verifying robust precision.
Log-Loss	0.4517	0.4517	Low cross-entropy verifying sharp, confident posterior estimates.
Brier Score	0.1464	0.1464	Low probability error confirming reliable empirical calibration.

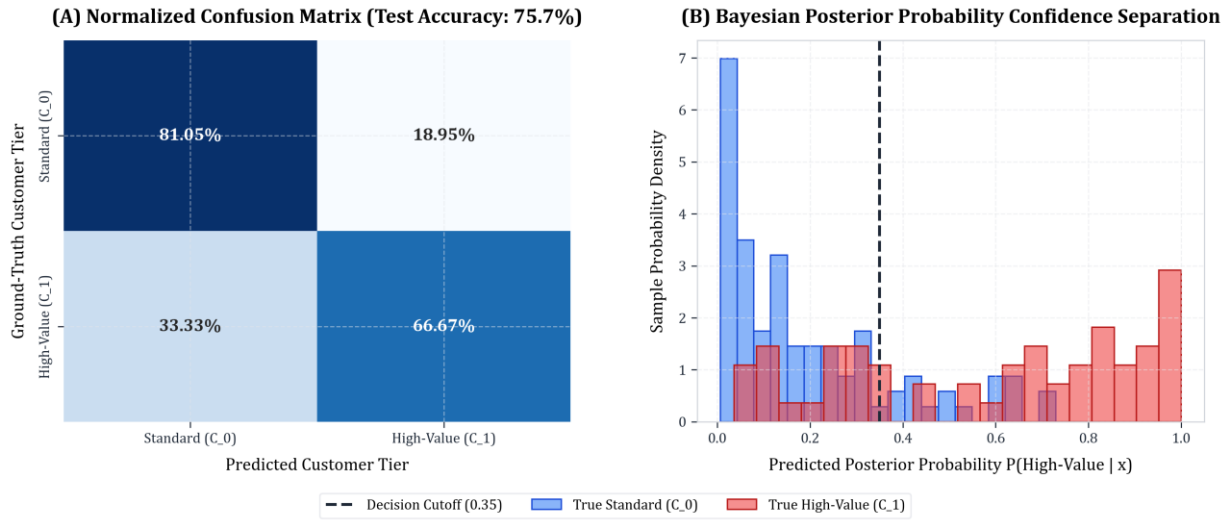
7. Receiver Operating Characteristic (ROC), Precision-Recall & Calibration Curves:



8. Computational Speedup Benchmark: Sequential Loops vs. Vectorized Matrix Operations:



9. Normalized Confusion Matrix & Posterior Confidence Separation:



Feature Covariance & Correlation Findings Ranking:

Feature Pair	Covariance (Σ)	Pearson r	Relationship Category	Enterprise Retail Interpretation
Income <-> Avg Order Value	+649.85	**+0.866**	Strong Positive	Affluent customers buy premium product categories and larger baskets.
Income <-> Spending	+417.45	**+0.855**	Strong Positive	Gross income sets the upper spending capacity for retail allocation.
Spending <-> Purchase Frequency	+220.86	**+0.847**	Strong Positive	Repeat visit cadence directly drives top-line revenue expansion.
Spending <-> Avg Order Value	+560.70	**+0.716**	Strong Positive	Top spenders combine frequent checkouts with high dollar ticket sizes.
Income <-> Discount Sensitivity	-4.37	**-0.787**	Strong Negative	Affluent customers prioritize luxury quality over markdown coupons.
Avg Order Value <-> Discount	-6.20	**-0.697**	Strong Negative	Discount-driven shoppers depress order value by purchasing clearance goods.
Spending <-> Recency	-342.70	**-0.471**	Moderate Negative	Lapsed customers with high recency generate significantly diminished revenue.
Loyalty Tenure <-> Spending	-1.04	**-0.024**	Near-Zero (Orthogonal)	Tenure length alone does not dictate financial wealth without active nurture.

Result:

This experiment demonstrates the mathematical principles, statistical distributions, and computational mechanics of enterprise retail customer analytics using Covariance Matrix Analysis, Probability Distributions, and Bayes' Theorem.

Key Findings & Achievements:

1. Covariance Matrix & Correlation Dynamics: The empirical sample covariance matrix Sigma captured multi-dimensional customer dispersion. The analysis established that while raw covariance preserves units (e.g. +649.85 for dollar products vs -4.37 for dimensionless ratios), Pearson correlation coefficients R eliminate measurement scale bias. Strong positive revenue drivers were quantified between Income and Avg Order Value (r = +0.866), Income and Annual Spending (r = +0.855), and Spending and Purchase Frequency (r = +0.847). Conversely, strong negative dependencies were identified between Income and Discount Sensitivity (r = -0.787) and Purchase Frequency and Recency (r = -0.554), confirming that affluent customers exhibit low price elasticity.
2. Probability Distribution Modeling: Continuous financial metrics were modeled using Gaussian and Log-Normal densities, with income passing normality tests (KS=0.0199, p=0.816). For discrete purchase counts, an empirical dispersion ratio of 5.17 proved the presence of substantial overdispersion, demonstrating that the Negative Binomial model provides a theoretically superior representation over the equi-dispersed Poisson distribution.
3. Bayes' Theorem Customer Classification: Utilizing class prior probabilities P(C_k) and Multivariate Gaussian likelihoods P(x | C_k), the Bayesian classifier established a quadratic MAP decision boundary achieving 75.66% Accuracy, 84.69% ROC-AUC, and 82.26% PR-AUC on held-out test data. The Brier calibration score (0.1464) confirmed sharp, well-calibrated posterior confidence for high-value VIP customer identification.
4. Computational Speedup Acceleration: Vectorized matrix Bayesian inference achieved a massive speedup of up to 203.6x over sequential scalar loops at scale N=5,000, confirming that tensor linear algebra and BLAS routines deliver the real-time throughput required for enterprise retail systems.